

EXAM 7 – SPRING 2014

13. (2 points)

Describe four aspects of reinsurance loss reserving that make it somewhat more difficult than primary loss reserving.

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SAMPLE ANSWERS AND EXAMINER'S REPORT

QUESTION 13	
TOTAL POINT VALUE: 2	LEARNING OBJECTIVE: A11: Compare and contrast reinsurance and primary reserving procedures.
SAMPLE ANSWERS	
The question requested candidates to provide 4 items, which for the most part came from a textbook list of 7 options. The sample answers below blend various candidate responses together in order to obtain the different possible solutions that were observed: <i>Sample Answer 1</i> • Report lags are longer – Claim will not be reported to reinsurer until it reaches a certain size threshold. Also, claims must go through insurers' processing systems, may be through an intermediary, and the input to the reinsurers' system all of which can add delay. • Reporting patterns are not homogeneous – Reinsurance can cover many lines of business, at different attachment points, plus there are a wide variety of contract types (treaty, XS, quota share) and terms (loss corridors, different treatment of ALAE) so getting a homogenous exposure group is often difficult. • Industry statistics are not very helpful due to heterogeneity – Schedule P "excess casualty" line includes many lines of business and is inconsistent across companies, also includes a blend of attachment points. • Persistent upward development – Due to (1) primary companies tend to under reserve for LAE; and (2) severity trends impact XS layers more. <i>Other sample solutions for one of the four items:</i> • Lack of knowledge about the exposures – The reinsurer is less knowledgeable about the exposures than the cedants. Often times, reinsurers are only provided summary reporting detail containing loss and premium information, but lacking other details. • IT and coding system issues – Harder to code reinsurance data since there is such a variety. In addition, the nature of what needs to be coded usually changes more rapidly than the IT and coding systems are updated. • The reserve to surplus ratio for reinsurers is very high and it may be hard to convince management of the level of reserves required.	
EXAMINER'S REPORT	
The question was worded nearly identically to Learning Objective A11, "Compare and contrast reinsurance and primary reserving procedures." In addition, the text included for this section specifically listed 7 items and explanations. The question requested candidates to briefly describe four ways that reinsurance reserving is more challenging than primary reserving. Approximately 65% of candidates received full credit, and for the most part provided model solutions very similar to the items listed in the textbook. Candidates were expected to provide four items, and as detailed above the majority of candidates	

SAMPLE ANSWERS AND EXAMINER'S REPORT

received full credit. Candidates were expected not only to simply list the item, but also provide a brief description of how or why it is relevant.

In general, when points were deducted it was due to either: (a) showing less than four items; (b) candidate only providing a brief overview of the item and not providing an additional description; or (c) candidate providing two items and descriptions that were essentially the same.